

If you can come away from your first Family Council meeting with a rough draft of your mission statement, approved by a consensus of the family members, it will be a significant breakthrough.

THE FAMILY CONSTITUTION

Small, first-generation families may not need a family constitution. But as your family grows and circumstances become more complicated, a family constitution can clarify issues and provide more structure to keep your family together. The family constitution provides a mechanism for realizing the goals spelled out in the mission statement. It is usually prefaced with a statement of your family's core beliefs, its values, and its more practical considerations, such as how the family aims to manage its wealth and run its business, if it has one.

Subsequent generations will reassess and amend the constitution. But if you give it plenty of time and thought to begin with, and base it around a genuinely shared family mission statement, most of what you draft will last for decades.

The Family Council drafts the family constitution. It typically explains:

- Who makes up the family.
- Who makes up the Family Council.
- How the family is governed.
- How family money is managed (for example, choosing an investment director and the members of the investment committee).
- How family assets (for example, real estate) are managed and used.
- When the Family Council meets and how it communicates.
- The family's code of ethics.
- How family conflicts are resolved within the family and how family members can avoid litigation.
- A plan for changing the constitution, as necessary.

The family constitution does not need to be a formal document. It might even be better that it isn't. It needs to evolve—but slowly. But to start out, it doesn't hurt to have a rough version signed by all family members.